Business Failure

Exam code: 9BS0

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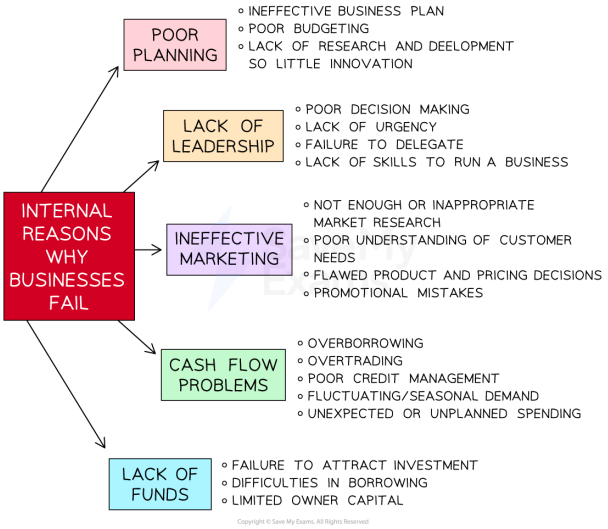
Internal and external causes of business failure

Internal causes of business failure



The main internal reasons for business failure include ineffective marketing, lack of leadership and lack of funds

- **Ineffective management** is a key cause of business failure
- Leaders may lack the **experience or skills** to run a business effectively, **especially during periods of crisis**
- Financial factors (e.g. a **lack of cash flow** or **working capital**) can cause swift business failure, as it becomes difficult to operate on a **day-to-day** basis

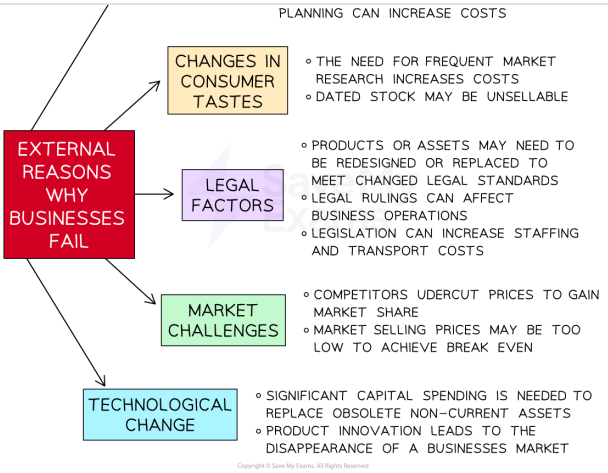
External causes of business failure

Help me understand

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it



The main external reasons for business failure include changes in consumer taste, economic challenges and market challenges

- Businesses also fail as a result of factors **beyond their direct control**
- A **change in legislation** can mean that products or processes may require significant redesign or withdrawal
  - E.g. the UK government announced that diesel vehicles are banned from 2030. Car manufacturers are switching to the production of greener petrol and electric vehicles, and some have moved production processes outside of the UK to reduce costs
    - Several prominent vehicle manufacturers **will likely fail** in the future as a result of these changes

- **Economic challenges** (e.g. **rising interest rates** or a **recession**) are a key cause of business failure
  - This is especially true for businesses that rely heavily on borrowing or that sell items that require customers to borrow money to finance their purchase

- The **entry of new competitors** into a market can cause significant problems for incumbent businesses, who may have to **slash prices or spend heavily on promotional activity** to maintain their market share
  - If a business has **existing weaknesses**, the entry of a new competitor can hasten its failure

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